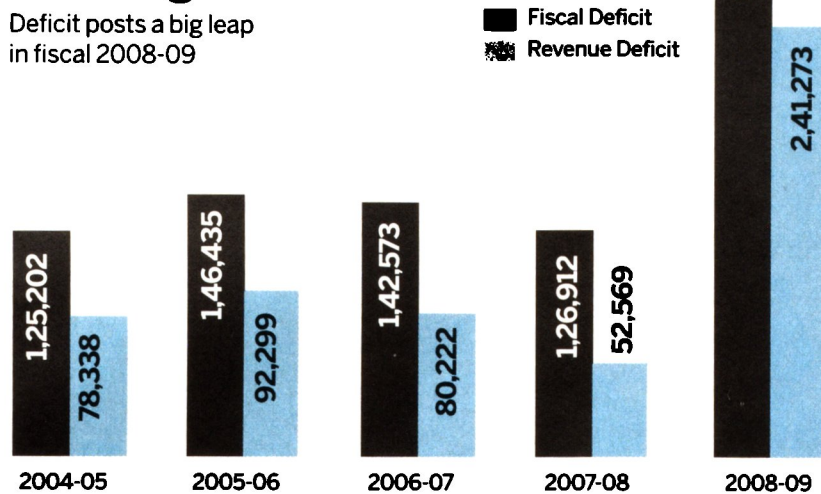


Zooming Deficit

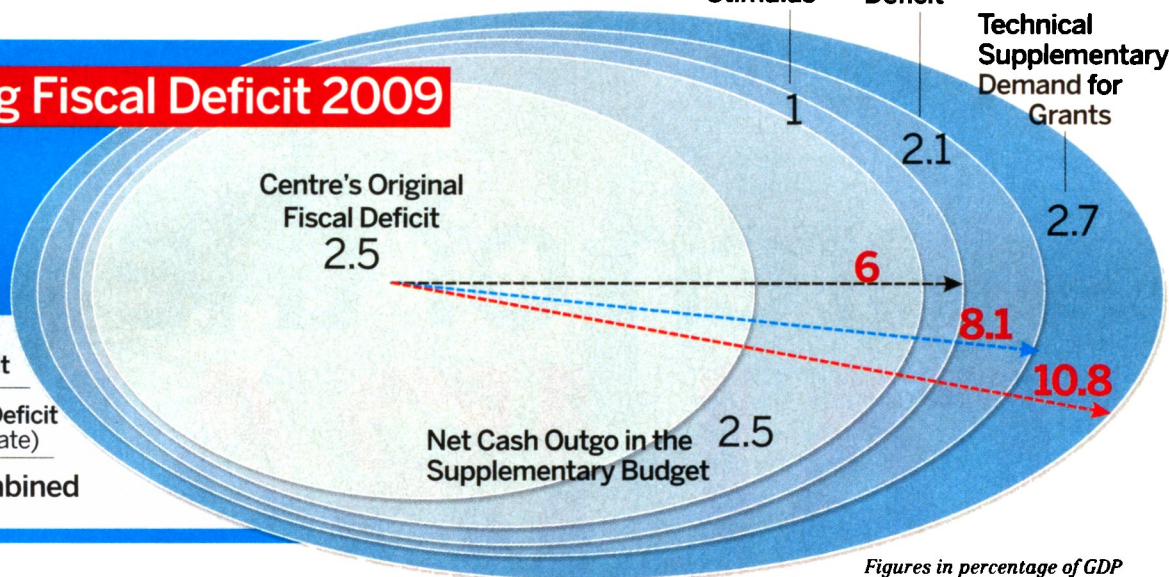
Deficit posts a big leap in fiscal 2008-09



debt levels could result in a sovereign rating downgrade, depending on whether they would cause Indian public finance ratios to deviate further from rating peer group medians, says a Fitch Ratings report. Even without a fiscal deterioration, it's possible that Indian public finances may compare less favourably with rated peers over time, as fiscal improvements elsewhere outpace those of India. This will impact both FDI and portfolio inflows. And if dollar inflows slow down, then the rupee comes un-

Computing Fiscal Deficit 2009

Country posts its highest-ever deficit since 1991



“ As of now our rating is BBB-. Our outlook on local currency is negative but positive on foreign currency. ”

DEVENDRA KUMAR PANT, Director, Fitch Ratings

Falguni Nayar, managing director, Kotak Investment Banking: “The doubling of fiscal deficit may place pressure on interest rates unless accommodating policy measures are taken.” Even the fall in interest rates, however, will be muted due to the Government's massive borrowing.

The problem of a bloated fiscal deficit is not merely restricted to bond yields and credit markets. With the fiscal deficit going out of control, India's year-on-year interest costs too

will mount substantially, which is considered wasteful expenditure. India's interest burden has gone up from Rs 1,26,934 crore in 2004-05 to Rs 1,92,694 crore in 2008-09. India's attractiveness as an investment destination is directly linked to its fiscal health. In 2006, rating agencies like Fitch had upgraded the country's sovereign rating to BBB—as its fiscal deficit started shrinking.

Given India's weak public finance position, increases in the deficit or

der pressure too.

The only good news is that with the off-budget deficit dropping to nearly zero in FY-10, the estimated gross deficit should fall to about 9 per cent. For a recovery of growth rates in India, we will have to wait for the impact of monetary easing to filter through the system, which might well take another two or three quarters, an improvement in global growth and capital flows. While expectations have been postponed to the actual budget which would be presented in May/June by the new government, the general expectations from any government will remain modest, looking at these figures. ■